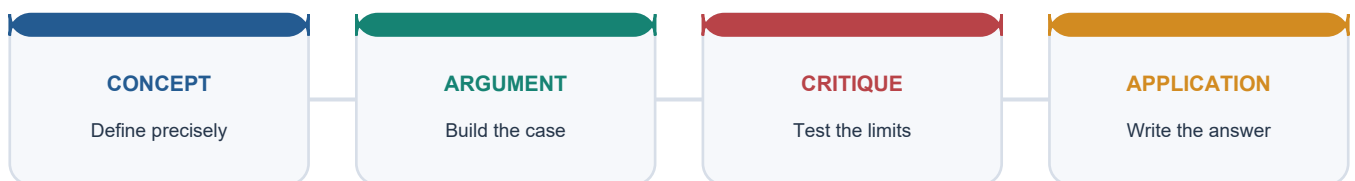


SOLVED PRACTICE WORKBOOK

Employment, Labour Codes, Skills and Demographic Dividend - Solved Practice Workbook

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

LEARNING PATH



Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / WORKBOOK INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

Employment, Labour Codes, Skills and Demographic Dividend - Solved Practice Workbook 4

BASIC MCQS / REMEDIATION 4

MCQ 1	4
MCQ 2	4
MCQ 3	4
MCQ 4	5
MCQ 5	5
MCQ 6	5
MCQ 7	5
MCQ 8	6
MCQ 9	6
MCQ 10	6
MCQ 11	7
MCQ 12	7
MCQ 13	7
MCQ 14	7
MCQ 15	8
MCQ 16	8
MCQ 17	8
MCQ 18	9
MCQ 19	9
MCQ 20	9
MCQ 21	9
MCQ 22	10
MCQ 23	10
MCQ 24	10
MCQ 25	11
MCQ 26	11
MCQ 27	11

MCQ 28	12
MCQ 29	12
MCQ 30	12
MCQ 31	12
MCQ 32	13
PYQS AND ANSWER PRACTICE	13
OFFICIAL-WORDING AND KEY DISCIPLINE	13
VERIFIED MAINS PYQ - 2024 GS-III Q11	13
VERIFIED MAINS PYQ - 2023 GS-III Q11	14
VERIFIED MAINS PYQ - 2023 GS-III Q12	14
VERIFIED MAINS PYQ - 2023 GS-II Q18	14
VERIFIED MAINS PYQ - 2022 GS-II Q16	15
ANSWER-KEY-NEUTRAL PRELIMS ROUTES	15
ORIGINAL MAINS PRACTICE WITH MODEL SOLUTIONS	15
ORIGINAL MAINS 1 - 10 MARKS	15
ORIGINAL MAINS 2 - 10 MARKS	16
ORIGINAL MAINS 3 - 15 MARKS	16
ORIGINAL MAINS 4 - 15 MARKS	17
ORIGINAL MAINS 5 - 20 MARKS	17
ORIGINAL MAINS 6 - 20 MARKS	18

Employment, Labour Codes, Skills and Demographic Dividend - Solved Practice Workbook

Exactly 32 original questions appear before PYQs. Correct answers rotate A -> B -> C -> D eight times.

BASIC MCQS / REMEDIATION

MCQ 1

Which formula correctly defines LFPR for a stated population?

A. Labour force divided by that population, multiplied by 100 B. Employed divided by labour force C. Unemployed divided by population D. Employed divided by unemployed

Answer: A.

Option-wise explanation:

- **A - Correct:** LFPR counts employed plus unemployed persons in the labour force relative to the specified population.
- **B - Incorrect:** Employed divided by labour force is the employment share within participants, not LFPR.
- **C - Incorrect:** Unemployed divided by population is neither the standard UR nor LFPR.
- **D - Incorrect:** The employed-unemployed ratio has no role in the official LFPR definition.

Examiner trap 1: LFPR uses the specified population in the denominator and includes both employed and unemployed participants.

MCQ 2

The denominator of the unemployment rate is:

A. Total population B. The labour force C. The working-age population only D. The employed population

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Total population includes persons outside the labour force and is not the UR denominator.
- **B - Correct:** UR is unemployed persons as a percentage of the labour force.
- **C - Incorrect:** Working-age population is used for participation and employment-population ratios when specified, not UR.
- **D - Incorrect:** Using employed persons would distort the rate whenever labour-force size changes.

Examiner trap 2: UR divides by the labour force, never by the total or working-age population.

MCQ 3

Which statement about WPR is correct?

A. It measures unemployed persons within the labour force B. It necessarily measures formal full-time jobs C. It is employed persons as a share of the specified population D. It equals LFPR in every economy

Answer: C.

Option-wise explanation:

- **A - Incorrect:** The first formula is the unemployment rate, not WPR.
- **B - Incorrect:** WPR includes all work meeting the status rule and does not guarantee formality or full-time hours.
- **C - Correct:** WPR is the employed share of the stated population.
- **D - Incorrect:** LFPR also includes unemployed participants, so it generally exceeds WPR.

Examiner trap 3: WPR establishes employed status relative to population, not formality, full-time hours or adequate earnings.

MCQ 4

A person who wants work but is neither seeking nor available under the survey rule is generally:

A. Employed B. Openly unemployed C. Underemployed by definition D. Outside the labour force

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Wanting work without performing work does not create employed status.
- **B - Incorrect:** Open unemployment requires the relevant seeking or availability conditions.
- **C - Incorrect:** Underemployment normally concerns inadequate utilisation among persons with work.
- **D - Correct:** Failure to meet labour-force participation tests places the person outside the labour force.

Examiner trap 4: Wanting work alone does not satisfy the survey's seeking or availability test.

MCQ 5

Usual status ps+ss is best associated with:

A. A 365-day reference combining principal and subsidiary activity B. A seven-day one-hour employment rule only C. Daily person-day accounting only D. Administrative payroll registration

Answer: A.

Option-wise explanation:

- **A - Correct:** Usual status uses the preceding 365 days and incorporates qualifying subsidiary activity.
- **B - Incorrect:** The seven-day one-hour rule belongs to CWS.
- **C - Incorrect:** Person-day intensity belongs to CDS.
- **D - Incorrect:** Payroll records are administrative data, not a PLFS activity-status method.

Examiner trap 5: Usual status ps+ss is a 365-day person-status approach, not a weekly or payroll measure.

MCQ 6

Under Current Weekly Status, a person is treated as employed if the person worked:

A. Every day in the preceding week B. At least one hour on any day in the preceding seven days C. At least thirty days in the year D. Only in a registered establishment

Answer: B.

Option-wise explanation:

- **A - Incorrect:** CWS does not require work on every day.
- **B - Correct:** The one-hour-on-any-day rule establishes employed status in the reference week.
- **C - Incorrect:** The thirty-day idea relates to subsidiary activity in usual status.
- **D - Incorrect:** Enterprise registration is irrelevant to the CWS work test.

Examiner trap 6: One hour of work can establish CWS employment without proving adequate weekly hours.

MCQ 7

Which measure is most sensitive to partial employment across days?

A. Usual principal status B. Current Weekly Status C. Current Daily Status D. EPFO payroll additions

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Principal status assigns a longer-term person status and smooths day-level variation.
- **B - Incorrect:** CWS can classify a person employed after limited work in the week.
- **C - Correct:** CDS records day and half-day activity as person-days.
- **D - Incorrect:** Payroll additions measure scheme records rather than daily labour utilisation.

Examiner trap 7: CDS is a person-day intensity measure and must not be substituted for a person-level annual rate.

MCQ 8

Why must Annual PLFS 2025 and July 2026 monthly PLFS figures not be compared directly?

- A. They cover different countries B. One measures only government employees C. Annual data contain no employment measure D. They use different reference/status frames: usual status versus CWS

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Both are Indian PLFS products.
- **B - Incorrect:** Neither series is restricted to government employees.
- **C - Incorrect:** The annual report includes LFPR, WPR and UR.
- **D - Correct:** Different reference periods and status approaches can change classification independently of economic change.

Examiner trap 8: Annual usual status and monthly CWS differ in reference period and classification.

MCQ 9

Disguised unemployment is best illustrated by:

- A. Surplus farm workers whose removal would not materially reduce output B. A graduate moving between two jobs C. A factory layoff during recession D. A worker searching after relocation

Answer: A.

Option-wise explanation:

- **A - Correct:** Near-zero marginal contribution among apparently employed workers is the defining logic.
- **B - Incorrect:** Movement between jobs is frictional unemployment.
- **C - Incorrect:** Demand-driven layoffs are cyclical unemployment.
- **D - Incorrect:** Relocation search is also frictional unless mismatch becomes structural.

Examiner trap 9: Disguised unemployment concerns marginal contribution despite apparent employment.

MCQ 10

Structural unemployment primarily reflects:

- A. A predictable lean season B. Persistent skill, occupation or location mismatch C. A one-week spell between jobs D. A worker doing fewer hours than desired

Answer: B.

Option-wise explanation:

- **A - Incorrect:** A calendar-driven gap is seasonal unemployment.
- **B - Correct:** Structural change creates persistent mismatch between labour supply and demand.
- **C - Incorrect:** A short search spell is frictional.
- **D - Incorrect:** Insufficient hours describe underemployment.

Examiner trap 10: Structural mismatch is distinct from seasonal gaps, short search and inadequate hours.

MCQ 11

A person classified as employed but wanting and available for more hours exemplifies:

A. Cyclical unemployment only B. Being outside the labour force C. Time-related underemployment D. Disguised unemployment in every case

Answer: C.

Option-wise explanation:

- **A - Incorrect:** The cause may be cyclical, but the status described is underemployment.
- **B - Incorrect:** An employed person is inside the labour force.
- **C - Correct:** The worker's labour time is incompletely utilised.
- **D - Incorrect:** Disguised unemployment concerns marginal product, not merely desired hours.

Examiner trap 11: Underemployment can exist while the person remains statistically employed.

MCQ 12

A falling unemployment rate can be misleading when:

A. WPR rises faster than LFPR B. Real wages rise C. Vacancies are filled quickly D. Discouraged workers stop seeking and leave the labour force

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Rising WPR with participation is generally evidence of improved absorption, subject to quality.
- **B - Incorrect:** Real-wage improvement does not mechanically create a misleading UR.
- **C - Incorrect:** Faster matching can genuinely reduce unemployment.
- **D - Correct:** Labour-force exit reduces the UR denominator without creating employment.

Examiner trap 12: A lower UR can result from labour-force exit rather than job creation.

MCQ 13

Which statement correctly distinguishes employment and enterprise formality?

A. A worker in a registered enterprise may still hold an informal job B. Every self-employed worker is formal C. Every organised-sector job has social insurance D. Bank payment alone proves formal employment

Answer: A.

Option-wise explanation:

- **A - Correct:** Enterprise registration and the worker's contract or benefit coverage are separate dimensions.
- **B - Incorrect:** Self-employment spans formal professionals and informal livelihood work.
- **C - Incorrect:** Workers in organised enterprises can lack contracts or coverage.
- **D - Incorrect:** Traceable wages do not establish every other protection.

Examiner trap 13: Enterprise registration and the worker's contract or benefit status are separate.

MCQ 14

PLFS employment-status categories include:

A. Only public and private employees B. Self-employed, regular wage/salaried and casual labour C. Only formal and informal workers D. Only agricultural and non-agricultural workers

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Ownership sector is a separate classification.
- **B - Correct:** These are the three broad status-in-employment groups.

- **C - Incorrect:** Formality cuts across employment status.
- **D - Incorrect:** Industry classification is separate from employment relationship.

Examiner trap 14: Status in employment is not the same classification as industry, ownership or formality.

MCQ 15

Employment elasticity equals:

- A. Output growth divided by wage growth B. Employment level divided by GDP C. Percentage employment growth divided by percentage output growth D. Labour force divided by population

Answer: C.

Option-wise explanation:

- **A - Incorrect:** That ratio does not measure employment responsiveness.
- **B - Incorrect:** Levels with different units cannot create the standard elasticity.
- **C - Correct:** The formula measures jobs' responsiveness to output over a stated period.
- **D - Incorrect:** Labour force over population is LFPR.

Examiner trap 15: Employment elasticity needs percentage changes over a matched period and sector.

MCQ 16

The phrase jobless growth is most defensible when it means:

- A. No person obtained any job B. All productivity growth is harmful C. Only services expanded D. Employment or job quality grew weakly relative to output in a specified period

Answer: D.

Option-wise explanation:

- **A - Incorrect:** The phrase rarely means literally zero hiring.
- **B - Incorrect:** Productivity can support wages and competitiveness.
- **C - Incorrect:** Sector identity alone cannot prove joblessness.
- **D - Correct:** A period- and sector-qualified low-employment-response claim is analytically valid.

Examiner trap 16: Jobless growth is a period-specific weak jobs response, not literally zero hiring.

MCQ 17

Which is the correct PLFS Annual 2025 usual-status snapshot for age 15+?

- A. LFPR 59.3%, WPR 57.4%, UR 3.1% B. LFPR 55.4%, WPR 52.5%, UR 5.1% C. LFPR 40.0%, WPR 38.8%, UR 9.9% D. LFPR 79.1%, WPR 76.6%, UR 13.6%

Answer: A.

Option-wise explanation:

- **A - Correct:** These are the all-India annual usual-status values reported by MoSPI.
- **B - Incorrect:** These are July 2026 monthly CWS values.
- **C - Incorrect:** The first two are female annual values, while 9.9% is youth UR.
- **D - Incorrect:** The first two are male annual values, while 13.6% is urban youth UR.

Examiner trap 17: Keep the 2025 annual age-15+ usual-status rail separate from later monthly data.

MCQ 18

Which July 2026 figure is a monthly CWS estimate for age 15+?

A. Annual LFPR 59.3% B. Overall LFPR 55.4% C. Youth usual-status UR 9.9% D. Formal vocational training 4.2%

Answer: B.

Option-wise explanation:

- **A - Incorrect:** 59.3% is the annual 2025 usual-status LFPR.
- **B - Correct:** MoSPI reported 55.4% overall LFPR under CWS in July 2026.
- **C - Incorrect:** 9.9% is the annual youth usual-status UR for 2025.
- **D - Incorrect:** 4.2% is the 2025 training incidence for age 15-59.

Examiner trap 18: The July 2026 figures are CWS estimates and are not revisions of annual usual status.

MCQ 19

PLFS Annual 2025 reported youth unemployment, age 15-29, usual status, at:

A. 3.1% B. 5.1% C. 9.9% D. 25.0%

Answer: C.

Option-wise explanation:

- **A - Incorrect:** 3.1% is the all-age annual UR for age 15+.
- **B - Incorrect:** 5.1% is the July 2026 monthly CWS UR for age 15+.
- **C - Correct:** 9.9% is the all-India youth usual-status UR.
- **D - Incorrect:** 25.0% is the NEET share for age 15-29, not UR.

Examiner trap 19: Youth UR uses the youth labour force as denominator; NEET uses a different population concept.

MCQ 20

Among women outside the labour force in PLFS 2025, the leading cited reason recorded in the press note was:

A. Retirement B. Seasonal layoff C. Lack of vocational certificate D. Childcare or personal homemaking commitments

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Retirement was not the highlighted leading female reason.
- **B - Incorrect:** A layoff generally concerns labour-force or employment status rather than the cited non-participation reason.
- **C - Incorrect:** Training absence was not the reported 44.4% reason.
- **D - Correct:** MoSPI reported 44.4% citing childcare or personal homemaking commitments.

Examiner trap 20: The 44.4 percent figure is a cited reason among women outside the labour force, not among all women.

MCQ 21

A demographic dividend arises when:

A. A favourable age structure is converted through health, learning, participation and productive jobs B. The population is young regardless of employment C. Fertility remains permanently high D. All workers move to cities

Answer: A.

Option-wise explanation:

- **A - Correct:** Age structure creates potential that institutions and jobs must convert.
- **B - Incorrect:** Youthfulness alone can coexist with unemployment and dependency.

- **C - Incorrect:** Persistently high fertility can keep child dependency elevated.
- **D - Incorrect:** Urban migration is neither necessary nor sufficient for a dividend.

Examiner trap 21: A favourable age structure creates potential; human capital, participation and jobs create the dividend.

MCQ 22

Which instrument most directly combines structured learning with workplace experience?

A. Recognition of Prior Learning B. Apprenticeship C. A labour-force survey D. A minimum-wage notification

Answer: B.

Option-wise explanation:

- **A - Incorrect:** RPL assesses skills already acquired.
- **B - Correct:** Apprenticeship integrates practical workplace training with a structured contract.
- **C - Incorrect:** A survey measures labour-market status.
- **D - Incorrect:** A wage notification regulates pay rather than training.

Examiner trap 22: A statutory apprenticeship is structured workplace learning, not any internship.

MCQ 23

Recognition of Prior Learning is intended to:

A. Create a new firm B. Guarantee a job C. Assess and certify skills acquired outside formal training D. Replace all apprenticeships

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Enterprise creation is not RPL's function.
- **B - Incorrect:** Certification does not guarantee employment.
- **C - Correct:** RPL validates prior competency and may add gap training.
- **D - Incorrect:** RPL complements rather than replaces work-based learning.

Examiner trap 23: RPL recognises prior competency; it does not guarantee a job or replace all training.

MCQ 24

Which statement about PMKVY 4.0 is correct?

A. It is an EPFO pension scheme B. It regulates industrial disputes C. It guarantees placement to every trainee D. It includes Short-Term Training, RPL and Special Projects

Answer: D.

Option-wise explanation:

- **A - Incorrect:** EPFO administers social-insurance schemes.
- **B - Incorrect:** Industrial disputes fall under labour-relations law.
- **C - Incorrect:** Official training programmes do not guarantee every placement.
- **D - Correct:** These are the principal PMKVY 4.0 training routes.

Examiner trap 24: PMKVY training routes must not be presented as automatic placements.

MCQ 25

The four Labour Codes consolidate:

A. 29 central labour laws into four thematic Codes B. All state labour laws into one Code C. Only social-security statutes D. The Companies Act and competition law

Answer: A.

Option-wise explanation:

- **A - Correct:** The official framework identifies 29 central laws and four named Codes.
- **B - Incorrect:** State laws and rules are not erased by one central codification.
- **C - Incorrect:** Wages, industrial relations and occupational safety are also covered.
- **D - Incorrect:** Corporate and competition law remain separate fields.

Examiner trap 25: Name all four Codes and retain their separate legal domains and enactment years.

MCQ 26

Under the Code on Wages architecture:

A. Every worker receives one identical national wage B. Applicable minimum wages cannot be below the central floor wage C. States cannot fix wage rates D. Floor wage and bonus are the same

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Rates vary by appropriate government and category.
- **B - Correct:** The floor is a lower benchmark for minimum-wage fixing.
- **C - Incorrect:** States retain an appropriate-government role.
- **D - Incorrect:** Bonus and minimum-wage architecture are distinct.

Examiner trap 26: The floor wage is a benchmark; appropriate governments notify applicable minimum wages.

MCQ 27

The central Industrial Relations Code threshold of 300 workers is associated with:

A. Every social-security benefit B. Every minimum-wage notification C. Standing orders and the specified prior-permission chapter D. e-Shram registration

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Social-security eligibility uses separate provisions.
- **B - Incorrect:** Minimum wages do not use this IR threshold.
- **C - Correct:** The Code uses 300-worker thresholds in these industrial-relations contexts.
- **D - Incorrect:** e-Shram is an unorganised-worker registry.

Examiner trap 27: The 300-worker thresholds belong to specified Industrial Relations Code chapters, not all labour law.

MCQ 28

The aggregator contribution formula under the Social Security Code is:

A. Five percent of turnover without a cap B. A flat employee payroll tax C. Only voluntary donations D. One to two percent of annual turnover, capped at five percent of amounts paid/payable to gig and platform workers

Answer: D.

Option-wise explanation:

- **A - Incorrect:** The five-percent figure caps worker-payment amounts, not turnover.
- **B - Incorrect:** The formula is not an employee payroll tax.
- **C - Incorrect:** The Code provides a statutory enabling contribution.
- **D - Correct:** This states both the turnover range and labour-payment cap.

Examiner trap 28: The aggregator formula has both a turnover range and a worker-payment cap and still needs scheme operation.

MCQ 29

EPFO administers which set?

A. EPF, EPS and EDLI B. PMKVY, NAPS and JSS C. ESI hospitals only D. LFPR, WPR and UR

Answer: A.

Option-wise explanation:

- **A - Correct:** Provident fund, pension and deposit-linked insurance are EPFO's three principal schemes.
- **B - Incorrect:** These are Skill India components.
- **C - Incorrect:** ESI is administered by ESIC.
- **D - Incorrect:** These are survey indicators.

Examiner trap 29: EPFO's EPF, EPS and EDLI architecture is contributory and distinct from ESIC.

MCQ 30

Which statement about e-Shram is correct?

A. Every registrant automatically receives EPF B. It is a national unorganised-worker database; registration is not itself benefit receipt C. It counts only platform workers D. It is the unemployment-rate survey

Answer: B.

Option-wise explanation:

- **A - Incorrect:** EPF coverage follows separate legal eligibility and contribution rules.
- **B - Correct:** The portal supplies identity and service linkages without proving benefit delivery.
- **C - Incorrect:** Its occupational coverage is much broader.
- **D - Incorrect:** PLFS, not e-Shram, produces unemployment estimates.

Examiner trap 30: e-Shram registration improves identification but does not prove benefit receipt or job formalisation.

MCQ 31

Under the OSHWC framework, women's night work is:

A. Absolutely prohibited B. Allowed without any consent or safeguards C. Permitted subject to consent and prescribed safeguards D. Limited only to government offices

Answer: C.

Option-wise explanation:

- **A - Incorrect:** The framework removed a blanket prohibition.

- **B - Incorrect:** Consent and safeguards remain central conditions.
- **C - Correct:** This is the qualified legal position.
- **D - Incorrect:** The rule is not confined to government employment.

Examiner trap 31: Night work requires consent and prescribed safeguards; it is neither banned nor compulsory.

MCQ 32

A balanced flexicurity approach combines:

A. Only easier dismissal B. Only permanent job protection C. Only training subsidies D. Firm adaptability with worker voice, portable security and transition support

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Adjustment without security transfers excessive risk.
- **B - Incorrect:** Absolute rigidity can deter adaptation and exclude outsiders.
- **C - Incorrect:** Training cannot replace wages, voice or income protection.
- **D - Correct:** Flexicurity joins adaptability with enforceable security and mobility.

Examiner trap 32: Flexicurity joins adaptability with enforceable security, voice, reskilling and portability.

PYQS AND ANSWER PRACTICE

OFFICIAL-WORDING AND KEY DISCIPLINE

The five Mains stems below reproduce audited official-paper wording or the exact routed official demand. Their solutions are original examiner-ready models; UPSC does not publish model answers. Historical objective routes are kept answer-key neutral because no matched final official key chain is held locally.

VERIFIED MAINS PYQ - 2024 GS-III Q11

Question: Discuss the merits and demerits of the four 'Labour Codes' in the context of labour market reforms in India. What has been the progress so far in this regard? (Answer in 250 words)

Model answer:

The four Codes consolidate 29 central laws into wage, industrial-relations, social-security and occupational-safety frameworks. Their merits are wider minimum-wage architecture, common definitions, negotiating institutions, fixed-term parity, portable social-security design, gig-worker recognition and simpler registration. Potential demerits arise from 300-worker thresholds, broader strike notice, uncertain bargaining effects, scheme-dependent gig protection and the possibility that digital compliance outruns field enforcement. Progress must be dated. The Codes were enacted in 2019-20; commencement notifications appointed 21 November 2025, with the Wages and Social Security notices specifying provisions. Final Central Rules G.S.R. 342(E)-345(E) were published on 8 May 2026. The Economic Survey 2025-26 recorded 32 States and Union Territories having published draft rules, but draft status and administrative readiness are not uniform final implementation. The correct verdict is enforceable flexicurity: predictable adjustment for firms combined with wage floors, worker voice, safety, portable protection, reskilling and accessible remedies. Outcomes should be tested through formal hiring, real wages, disputes, accidents, coverage and compliance costs rather than enactment alone.

VERIFIED MAINS PYQ - 2023 GS-III Q11

Question: Most of the unemployment in India is structural in nature. Examine the methodology adopted to compute unemployment in the country and suggest improvements. (Answer in 250 words)

Model answer:

Structural unemployment reflects persistent mismatch of skills, occupations and locations as production changes. India measures labour status mainly through PLFS household surveys. Usual status uses a 365-day reference and captures principal plus subsidiary activity; Current Weekly Status uses seven days and classifies a person employed after at least one hour of work; Current Daily Status records person-days and is more sensitive to underemployment. LFPR, WPR and UR must be read together because UR uses the labour force, not population, as denominator. This architecture captures multiple time horizons, rural and urban labour and diverse employment statuses. Yet a binary employed label can conceal low hours, disguised work, skill underuse and weak earnings; discouraged workers may leave the labour force; annual usual-status and monthly CWS estimates are not directly comparable. Improvement requires publishing hours-based underutilisation, vacancy and occupation-skill data, transition panels, district and gender detail, confidence intervals, and consistent links with enterprise and payroll data without adding unlike universes. Better measurement should preserve survey independence and privacy. The objective is not one lower rate, but a transparent dashboard of participation, employment, unemployment, hours, earnings, security and productivity.

VERIFIED MAINS PYQ - 2023 GS-III Q12

Question: Distinguish between 'care economy' and 'monetized economy'. How can care economy be brought into monetized economy through women empowerment? (Answer in 250 words)

Model answer:

The care economy comprises paid and unpaid work that maintains people and households, including childcare, eldercare, cooking and nursing. The monetised economy records market-valued production and paid transactions. Unpaid care therefore creates real welfare and reproduces labour power even when it falls outside measured GDP. Women bear a disproportionate time burden, constraining education, mobility and paid work. Bringing more care into the monetised economy requires public childcare and eldercare services, professional training and certification, decent wages and social security for care workers, safe transport, flexible schedules, maternity protection and public procurement of quality services. Credit and market support can help women-led care enterprises, while workplace crèches and shared parental responsibilities release women's time. However, monetisation is not the same as empowerment if care jobs remain honorary, precarious or poorly paid. Policy should recognise, reduce and redistribute unpaid care while expanding voluntary, dignified paid care work. Success should be measured through women's time use, LFPR, real earnings, care quality, formal protection and decision-making power, not merely the number of centres or trainees.

VERIFIED MAINS PYQ - 2023 GS-II Q18

Question: Skill development programmes have succeeded in increasing human resources supply to various sectors. In the context of the statement, analyse the linkages between education, skill and employment. (Answer in 250 words)

Model answer:

Education builds literacy, numeracy, health awareness and transferable reasoning; occupational skill converts these foundations into task competency; employment uses and deepens capability through experience. Weak learning limits trainability, while training unconnected to firms can produce certificates without jobs. Conversely, productive firms may face vacancies when curricula, location or wage expectations do not match demand. Policy must therefore connect schools, ITIs, PMKVY, Recognition of Prior Learning and apprenticeships through common standards and employer participation. PM-NAPS reduces part of apprenticeship cost, while Sector Skill Councils develop occupational standards. Career services, migration support, safe transport and childcare improve matching and participation. Evaluation should follow enrolment, completion, assessment integrity, placement, retention and real wage progression rather than training totals. General and vocational education should remain permeable so workers can adapt to technology instead of being trapped in narrow trades. Finally, jobs require macroeconomic demand, competitive firms, infrastructure and entrepreneurship; skill supply alone cannot create vacancies. The linkage succeeds when capability, certified competency, employer demand and decent work reinforce one another.

VERIFIED MAINS PYQ - 2022 GS-II Q16

Question: Besides the welfare schemes, India needs deft management of inflation and unemployment to serve the poor and the underprivileged sections of the society. Discuss. (Answer in 250 words)

Model answer:

Welfare schemes cushion households but cannot substitute for stable prices and durable livelihoods. Inflation erodes the real wages and savings of poor households, especially where pay is informal and unindexed. Yet disinflation based only on severe demand compression can weaken construction, MSMEs and other labour-intensive activity. A deft policy mix should repair food, fuel and logistics supply, maintain credible monetary policy, use calibrated fiscal support and protect productive public investment. Unemployment policy should expand labour-intensive manufacturing, care services, urban infrastructure and rural nonfarm enterprise; remove female participation barriers; and connect education, apprenticeships and labour-market information with firm demand. Portable food, health and social-security systems protect migrants and informal workers during transitions. Minimum wages and collective institutions support earnings, while reskilling helps displaced workers. Welfare remains a floor for shocks and incapacity, but it should complement rather than replace job creation. Outcomes should be judged through inflation incidence, LFPR, WPR, hours, real earnings, security and productivity. The objective is price stability with employment-rich growth, not a false choice between transfers and macroeconomic management.

ANSWER-KEY-NEUTRAL PRELIMS ROUTES

Year	Q	Audited demand	Key discipline
2018	49	Human-capital formation concept	No answer letter inferred
2018	78	PMKVY scope and ministry	No answer letter inferred
2019	60	Fixed-term employment rules	No answer letter inferred
2020	58	Post-1991 worker-productivity trend	No answer letter inferred
2021	2	Casual workers, EPF and wage payment	No answer letter inferred
2022	71	Agency compiling industrial-disputes data	No answer letter inferred

ORIGINAL MAINS PRACTICE WITH MODEL SOLUTIONS

ORIGINAL MAINS 1 - 10 MARKS

Question: Distinguish LFPR, WPR and unemployment rate and explain why they must be read together. Answer in 150 words.

Model answer:

LFPR measures employed plus unemployed persons seeking or available for work as a share of a specified population. WPR measures employed persons against that population. The unemployment rate measures unemployed persons against the labour force, not the population.

They must be read together. Falling unemployment may signal job creation, or discouraged workers leaving the labour force; in the second case LFPR falls while WPR may stagnate. Rising participation may temporarily increase unemployment as new entrants search before finding work.

Comparisons must preserve age, sex, geography, reference period and status method. Annual usual-status and monthly Current Weekly Status estimates are not interchangeable. A sound diagnosis therefore reads LFPR, WPR and unemployment jointly, then checks hours, real earnings, security and productivity to distinguish more work from better work.

Native-body word count: 141 / 150.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 2 - 10 MARKS

Question: Why is India's demographic dividend conditional and time-bound? Answer in 150 words.

Model answer:

A demographic dividend is the potential growth gain from a favourable age structure, not an automatic reward from youth. Falling fertility can increase the working-age share and reduce dependency, creating scope for higher output, saving and investment.

Conversion requires healthy, educated entrants, employable skills, female participation, productive firms, labour mobility and sufficient jobs. Otherwise youth unemployment, informal low-productivity work and frustration may rise. State windows differ: earlier-transition states age sooner, while younger states need faster capability and job creation. Migration and portable services can connect them.

The window is time-bound because large working-age cohorts eventually become elderly, raising pension, health and care needs. India must invest now in human capital, employment-intensive transformation, care infrastructure and contributory protection. Age structure opens the opportunity; institutions determine whether it becomes a dividend.

Native-body word count: 144 / 150.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 3 - 15 MARKS

Question: Examine structural unemployment in India and the measurement reforms needed to identify it better. Answer in 250 words.

Model answer:

Structural unemployment arises when workers' skills, occupations or locations do not match changing labour demand. India can display vacancies in expanding firms alongside educated unemployment, surplus agricultural labour and weak mobility. Technology, uneven learning, regional concentration and poor labour-market information deepen the mismatch.

PLFS supplies the core household evidence. Usual status uses a 365-day reference and captures principal plus subsidiary activity; Current Weekly Status uses seven days; Current Daily Status measures person-days and better reveals partial work. LFPR, WPR and unemployment rate must be read together because labour-force exit can lower unemployment without creating jobs.

However, a binary employed status can conceal disguised work, too few hours, skill underuse, low earnings and discouraged workers. Administrative payroll records cover schemes, not the whole economy; portal vacancies are not verified net jobs.

Measurement should add regular hours-based underutilisation, occupation-skill and vacancy modules, school-to-work panels, migration histories, district and gender detail, and real-earnings indicators. Household, enterprise and payroll sources should be triangulated only after preserving their universes and duplicates. Transparent methodology breaks and confidence intervals are essential.

Better measurement will not itself create jobs, but it can distinguish demand shortage from mismatch and target apprenticeships, mobility, employer-linked training and labour-intensive growth more accurately.

Native-body word count: 215 / 250.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 4 - 15 MARKS

Question: Evaluate the four Labour Codes through the lens of flexibility, security and federal implementation. Answer in 250 words.

Model answer:

The four Labour Codes consolidate 29 central laws covering wages, industrial relations, social security, and occupational safety and working conditions. They seek common definitions, wider minimum-wage architecture, simpler registration, negotiating institutions, fixed-term parity, migrant portability and legal recognition of gig and platform workers.

For firms, unified compliance and clearer adjustment procedures may reduce uncertainty and encourage formal hiring. For workers, floor-wage architecture, timely payment, safety, appointment letters and portable protection can strengthen security. Yet the Industrial Relations Code's 300-worker thresholds may encourage firm-size avoidance or weaken bargaining; broader strike notice can reduce worker leverage; and gig protection depends on notified schemes, finance and delivery rather than definition alone.

Status must be precise. Commencement notifications appointed 21 November 2025, with Wages and Social Security notices listing specified provisions. Final Central Rules G.S.R. 342(E)-345(E) were published on 8 May 2026. Labour is concurrent, and the Economic Survey 2025-26 recorded 32 States and Union Territories at draft-rule stage; final rules and enforcement capacity remain uneven.

The test is enforceable flexicurity, not codification alone. Measure formal hiring, real wages, disputes, accidents, benefit claims, compliance cost and remedy time. Simplification without worker security shifts risk; protection without adaptable firms can exclude new entrants.

Native-body word count: 218 / 250.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 5 - 20 MARKS

Question: How can India raise women's employment while recognising and redistributing unpaid care work? Answer in 250 words.

Model answer:

Women's employment is constrained not only by skills but also by unpaid care, safety, transport, workplace design, social norms and the availability of suitable jobs. PLFS Annual Report 2025 records female LFPR at 40.0 percent in usual status for age 15 and above; among women outside the labour force, 44.4 percent cited childcare or personal homemaking commitments as the main reason. The figures establish a barrier, not the quality of jobs entered.

Policy should recognise unpaid care through time-use evidence, reduce it through water, energy, childcare and eldercare infrastructure, and redistribute it across households, employers and the state. Publicly financed, quality care services can release women's time and create paid employment. Care workers need training, standards, adequate wages, social security and career ladders so monetisation does not reproduce precarity.

Safe transport, hostels, toilets, anti-harassment enforcement, predictable shifts and voluntary flexible work widen feasible employment. Apprenticeships, returnships, credit and procurement can connect women to higher-productivity sectors. The OSHWC framework permits night work with consent and prescribed safeguards; consent cannot be replaced by compulsion.

Progress should be measured through participation, paid-work status, hours, real earnings, benefit coverage, occupational segregation and decision-making power. Rising LFPR that consists mainly of unpaid family work is incomplete empowerment. The goal is agency, decent work and shared care, not participation at any cost.

Native-body word count: 233 / 250.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 6 - 20 MARKS

Question: Design an employment strategy that combines structural transformation, skills and portable social security. Answer in 250 words.

Model answer:

India's employment challenge combines insufficient productive demand, surplus labour in agriculture, skill and location mismatch, low female participation and fragmented protection. A successful strategy must therefore begin with diagnosis rather than a single scheme.

First, expand labour-absorbing demand through reliable infrastructure, competitive MSMEs, agro-processing, construction, tourism, care services and export-oriented manufacturing. Firm growth requires markets, logistics, power, finance, standards and predictable regulation. Second, build capability from health and foundational learning to TVET, Recognition of Prior Learning and employer-linked apprenticeships. PMKVY should be judged by placement, retention and real wages; PM-NAPS should reward genuine workplace learning.

Third, reduce matching barriers through career services, safe transport, rental housing, migration support and interoperable skill records. Fourth, implement flexicurity: enforce wage floors, safety and collective voice while providing portable health, pension, accident and transition protection. EPFO and ESIC serve contributory coverage; e-Shram can link mobile unorganised workers but registration is not benefit receipt. Gig-worker schemes need notified financing, transparent algorithms and grievance redress.

Centre-State coordination is essential because labour is concurrent and demographic conditions vary. A dashboard should track LFPR, WPR, unemployment, hours, real earnings, security, productivity and inclusion. Structural transformation succeeds only when workers move into more productive, better-protected work rather than merely changing sector or location.

Native-body word count: 219 / 250.

Answer audit: Claim, named evidence, analysis and qualification are preserved.